Samsung SDI

See upbeat 3Q results led by ESS and one-off gains but slightly muted 4Q/'27 outlook

Reiterate Rating: BUY | PO: 750,000 KRW | Price: 556,000 KRW

3Q OP likely strong and L-T bullish guidance well expected

Samsung SDI, in which Samsung Electronics (SEC) holds a 19.4% stake, will host its 3Q earnings call on 29 Oct. We expect strong OP (W218bn; Bloomberg consensus: W161bn). Key contributors should be ESS (sales over W1.0tn; OPM 11%) and one-off gains (W200bn+ likely, according to our analysis), recognized from restructuring the US JV (49.99% stake acquisition from GM). We also see a sharp recovery in small batteries, led by AI data center BBU (~10% of total small battery sales) and power tools (stronger US demand). Semiconductor/OLED materials (mainly for SEC) look broadly in line (OPM: high-teens% - close to upcycle). Significant cash-flow improvement was also announced – W4.5tn paid by Samsung Display Corp (SDC) following 5% stake sale (to SDC itself); but no capital gains given close to book value price. Overall, our 3Q preview indicates upbeat OP and cash flow.

Stock upside still 30%+ despite PO cut

We now assume a slower recovery in EV battery profitability (loss continues into 4Q26 and 1H27; and then just 2-5% OPM through 2H27 and 2028). Competition with China players (in Europe) and weak demand (US) are the key reasons, in our view. That said, the EV battery business risk can be mitigated by strongly growing ESS demand in US (40-60GW LFP capacity to be established by 2028-29; OPM: 10-20% possible but including AMPC; ex-AMPC just low-single digit% or small loss). We also assume a stronger Korean won against the USD in 4Q26 and 2027-28 (W1.3k/USD vs W1.4k earlier), implying around a 1ppt margin drag versus our previous forecast. Overall, we cut our 2027-28 OP estimate by ~8% (new: W1.4tn/W2.2tn vs old: W1.6tn/W2.4tn; mostly related to 1-2ppt lower margin for EV and negative impact of FX driven). EPS estimate revisions (14-15% cut) look larger vs those for OP due to lower equity method gains (post 5% SDC stake disposal). Against this backdrop, we cut PO from W820,000 (16x 2027-28E EV/EBITDA) to W750,000 (15x). This is slightly lower than the long-term historical average of 16x. That said, our PO still offers 30%+ stock upside potential; reiterate Buy.

Estimates (Dec) (W)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - bn)	599	(649)	759	1,260	1,837
EPS	8,962	-8,746	9,642	16,016	23,346
EPS Change (YoY)	-70%	NM	NM	66%	46%
Dividend / Share	1,000	0	0	0	0
Free Cash Flow / Share	(91,059)	(29,246)	(18,234)	1,574	12,284
Valuation (Dec)					
P/E	62.0x	NM	57.7x	34.7x	23.8x
Dividend Yield	0.2%	0%	0%	0%	0%
EV / EBITDA*	23.3x	136.8x	18.0x	12.4x	9.7x
Free Cash Flow Yield*	-16.4%	-5.8%	-3.8%	0.3%	2.6%

* For full definitions of *iQmethod℠* measures, see page 18.

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.
Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.
BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.
Refer to important disclosures on page 19 to 21. Analyst Certification on page 16. Price Objective Basis/Risk on page 16. 13030908

22 October 2026

Equity

Key Changes

(W)	Previous	Current
Price Obj.	820,000	750,000
2026E EPS	8,430	9,642
2027E EPS	18,954	16,016
2028E EPS	27,007	23,346

Simon Woo, CFA >>
Research Analyst
Merrill Lynch (Seoul)
+82 2 3707 0554
simon.woo@bofa.com

Matt Shin >>
Research Analyst
Merrill Lynch (Seoul)
matt.shin2@bofa.com

Dai Shen >>
Research Analyst
Merrill Lynch (Hong Kong)
dai.shen@bofa.com

Stock Data

Price	556,000 KRW
Price Objective	750,000 KRW
Date Established	21-Oct-2026
Investment Opinion	C-1-9
52-Week Range	255,500 KRW-820,000 KRW
Mrkt Val / Shares Out (mn)	29,464 USD / 70.4
Market Value (mn)	39,132,629 KRW
Average Daily Value (mn)	355.16 USD
Free Float	65.6%
BofA Ticker / Exchange	SSDIF / KSC
Bloomberg / Reuters	006400 KS / 006400.KS
ROE (2026E)	3.3%
Net Dbt to Eqty (Dec-2025A)	38.5%

AI: Artificial intelligence
AMPC: Advanced manufacturing production credit
BBU: Battery backup unit
ESS: Energy system storage
EV: Electric vehicle
GM: General Motors
GW: Gigawatt
LFP: Lithium iron phosphate battery
OLED: Organic light-emitting diode
OPM: Operating profit margin

iQprofile℠ Samsung SDI

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(W Billions)					
Sales	16,592	13,267	15,323	18,501	26,161
Gross Profit	3,094	1,462	3,407	4,346	5,194
Sell General & Admin Expense	(2,730)	(3,184)	(2,949)	(2,915)	(3,010)
Operating Profit	363	(1,722)	459	1,431	2,184
Net Interest & Other Income	(637)	(480)	(269)	(280)	(280)
Associates	801	838	904	686	747
Pretax Income	527	(1,364)	1,094	1,837	2,651
Tax (expense) / Benefit	48	779	(2)	(329)	(502)
Net Income (Adjusted)	599	(649)	759	1,260	1,837
Average Fully Diluted Shares Outstanding	0.067	0.074	0.079	0.079	0.079
Key Cash Flow Statement Data					
Net Income	599	(649)	759	1,260	1,837
Depreciation & Amortization	1,875	2,103	2,433	2,769	3,162
Change in Working Capital	(2,538)	1,613	(811)	38	(54)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(73)	(2,274)	(880)	(439)	(435)
Cash Flow from Operations	(138)	792	1,501	3,629	4,510
Capital Expenditure	(6,271)	(3,067)	(3,000)	(3,500)	(3,500)
(Acquisition) / Disposal of Investments	402	2,496	(87)	(278)	(278)
Other Cash Inflow / (Outflow)	949	(1,428)	4,460	0	0
Cash Flow from Investing	(4,920)	(1,999)	1,372	(3,778)	(3,778)
Shares Issue / (Repurchase)	0	59	0	0	0
Cost of Dividends Paid	(70)	(70)	0	0	0
Cash Flow from Financing	5,544	865	(119)	(193)	(436)
Free Cash Flow	(6,409)	(2,274)	(1,499)	129	1,010
Net Debt	9,693	9,080	6,525	6,428	5,460
Change in Net Debt	5,373	(353)	(2,486)	(98)	(968)
Key Balance Sheet Data					
Property, Plant & Equipment	17,707	19,241	20,959	21,789	22,225
Other Non-Current Assets	12,557	14,275	13,480	14,108	14,785
Trade Receivables	4,042	3,079	3,845	3,829	3,813
Cash & Equivalents	1,885	1,804	4,627	4,285	4,581
Other Current Assets	4,407	3,857	4,460	4,506	4,591
Total Assets	40,597	42,255	47,370	48,516	49,996
Long-Term Debt	5,064	5,493	4,355	4,183	4,018
Other Non-Current Liabilities	3,111	3,397	3,676	3,623	3,575
Short-Term Debt	6,514	5,391	6,797	6,530	6,023
Other Current Liabilities	4,342	4,404	5,054	5,118	5,129
Total Liabilities	19,030	18,685	19,882	19,454	18,745
Total Equity	21,567	23,570	27,488	29,063	31,250
Total Equity & Liabilities	40,597	42,255	47,370	48,516	49,996
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	1.0%	-2.3%	1.0%	2.7%	4.0%
Return On Equity	3.1%	-3.2%	3.3%	5.0%	6.8%
Operating Margin	2.2%	-13.0%	3.0%	7.7%	8.3%
EBITDA Margin	13.5%	2.9%	18.9%	22.7%	20.4%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	-0.2x	NM	2.0x	2.9x	2.5x
Asset Replacement Ratio	3.3x	1.5x	1.2x	1.3x	1.1x
Tax Rate (Reported)	NM	57.1%	0.2%	17.9%	19.0%
Net Debt-to-Equity Ratio	44.9%	38.5%	23.7%	22.1%	17.5%
Interest Cover	NA	NA	NA	NA	NA

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 18.

Company Sector

Electrical Equipment

Company Description

Samsung SDI manufactures batteries (for EV, ESS, power tool, smartphone, etc) and electronic materials (for semiconductor chips and display panels). Key customers are Samsung Electronics (which owns a 19% stake vs public about 80%), European/US car makers, etc. The 10% stake in Samsung Display offers equity method gains and cash dividend income (sometimes 50% of NP). SDI will significantly expand its manufacturing capacity in the US through 2024-2027 (100GW+ possible).

Investment Rationale

Our Buy rating is based on long-term growth opportunities with AI boom. SDI's ESS batteries will see more demand in the US at the expense of Chinese competitors. EV batteries are also expected to recover through 2H27 and 2028 on the back of resilient orders (from BMW, Benz, Hyundai Motor, etc.). We assume new record-high OP in 2027-28, following 2H24-1H26 downturn and 2H26 profit generation.

Stock Data

Price to Book Value	1.6x

Lower PO to W750,000; reiterate BUY

Exhibit 1: We summarized three major local regulatory filings disclosed during Jul-Aug: (1) Long-term capex plan of W25tn; (2) SDI's full ownership of GM JV fab (target production in 2027); and (3) SDI's 5% stake sale (equiv. to W4.45tn) in Samsung Display
Samsung SDI's major local regulatory filings (DART) during Jul-Aug

Key event	Summary	Key implications
Capex plan	-In July, SDI disclosed total W25tn capex plan (to be executed throughout Jan 2026 to Dec 20240) -->W9tn in Cheonan facility to enhance competitiveness in next-gen battery tech and R&D -->W16tn in Ulsan facility for mass production of next-gen prismatic battery, ESS, LFP, etc	-Reinforces SDI's l-t commitment to develop next-gen battery tech and domestic manufacturing capacity -Greater exposure to ESS and LFP could diversify SDI's product mix beyond premium EV batteries and address faster-growing cost-sensitive applications -The extended investment period should limit the immediate capex burden, although actual spending will ultimately depend on demand outlook and project execution
GM JV restructuring	-In mid-Aug, SDI acquired GM's 49.99% stake in the JV plant in New Carlisle, which is targeting mass production by 2027 -The plant has a target capacity of 27GWh, with planned capex of approximately US$3.5bn	-Full ownership gives SDI greater flexibility to repurpose the facility, adjust the product roadmap or secure alternative customers -However, GM's exit removes an anchor customer and increases SDI's exposure to funding, ramp-up and UTR risks -ROIC will depend heavily on securing replacement demand ahead of the planned 2027 mass production start
Samsung Display stake sale	-In mid-Aug, SDI sold 13.1 million shares (equiv. to W4.45tn or 5% stake) of Samsung Display -The disposal reduced SDI's ownership in Samsung Display to 10.2% vs 15.2% previously	-The transaction provides substantial liquidity that could support battery capex, improve balance sheet flexibility -However, dividend income from Samsung Display should reduce around 33% -->SDI received roughly W500bn cash dividend through its 15% stake in SDC and it should reduce to around W333bn after reduced stake

Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 2: We expect strong OP (W218bn; Bloomberg consensus: W161bn). Key contributors should be ESS (sales over W1.0tn; OPM 11%) and one-off gains (W200bn+ likely, according to our analysis), recognized from restructuring the US JV (49.99% stake acquisition from GM).
Samsung SDI – 2026 quarterly earnings; our estimate vs consensus

	1Q26	2Q26	3Q26E			4Q26E		
(Won, Wbn)	Actual	Actual	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**3,576**	**3,769**	**3,918**	**4,065**	**-4%**	**4,060**	**4,593**	**-12%**
GPM	16.4%	24.9%	24.1%	25.4%	-1.4%pt	23.2%	31.2%	-8.0%pt
OP	**-156**	**204**	**218**	**161**	**36%**	**192**	**207**	**-7%**
OPM	**-4.4%**	**5.4%**	**5.6%**	**4.0%**	**1.6%pt**	**4.7%**	**4.5%**	**0.2%pt**
Net non-opex	-112	-275	-110	-169	nm	-137	-95	nm
Pre-tax	-43	479	328	330	0%	329	302	9%
Effective tax rate	n/a	2%	15%	45%	-29.4%pt	13%	17%	-3.4%pt
NP (GAAP)	**-28**	**342**	**209**	**182**	**15%**	**235**	**251**	**-6%**
FD EPS (GAAP)	-358	4,348	2,662	1,946	37%	2,989	2,840	5%
Implied shares (mn)	78.7	78.7	78.7	93.7	-16%	78.7	88.5	-11%

Source: Bloomberg, company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 3: Both Street and our estimates assume robust OP recovery in 2027/28E (W1.4tn/W2.2tn+) on the back of strongly rising ESS demand thanks to AI infra build-out and gradually recovering EV battery demand
Samsung SDI – 2026-28 annual earnings; our estimate vs consensus

	2025	2026E			2027E			2028E		
(Won, Wbn)	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**13,267**	**15,323**	**16,004**	**-4%**	**18,501**	**20,024**	**-8%**	**26,161**	**24,261**	**8%**
GPM	11.0%	22.2%	22.5%	-0.3%pt	23.5%	25.2%	-1.7%pt	19.9%	26.6%	-6.8%pt
OP	**-1,722**	**459**	**387**	**18%**	**1,431**	**1,438**	**-1%**	**2,184**	**2,389**	**-9%**
OPM	**-13.0%**	**3.0%**	**2.4%**	**0.6%pt**	**7.7%**	**7.2%**	**0.6%pt**	**8.3%**	**9.8%**	**-1.5%pt**
Net non-opex	-358	-635	-586	nm	-406	-414	nm	-467	-443	nm
Pre-tax	-1,364	1,094	973	12%	1,837	1,853	-1%	2,651	2,831	-6%
Effective tax rate	57%	0%	24%	-24.0%pt	18%	23%	-4.9%pt	19%	24%	-4.7%pt
NP (GAAP)	**-649**	**759**	**738**	**3%**	**1,260**	**1,430**	**-12%**	**1,837**	**2,162**	**-15%**
FD EPS (GAAP)	-8,746	9,642	8,158	18%	16,016	17,480	-8%	23,346	26,897	-13%
Implied shares (mn)	74.3	78.7	90.5	-13%	78.7	81.8	-4%	78.7	80.4	-2%

Source: Bloomberg, company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 4: We cut our 2027-28 OP estimate by ~8% (new: W1.4tn/W2.2tn vs old: W1.6tn/W2.4tn; mostly related to 1-2ppt lower margin for EV and negative impact of FX driven). EPS estimate revisions (14-15% cut) look larger vs those for OP due to lower equity method gains (post 5% stake disposal).

Samsung SDI – Earnings revisions (2026-28E)

(Wbn, Won)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted																
New	-358	4,348	2,662	2,989	2,397	3,263	4,896	5,460	17,493	29,192	30,045	8,962	-8,746	9,642	16,016	23,346
Old	-358	4,349	1,534	2,906	3,013	4,060	5,917	5,964	17,493	29,192	30,045	8,962	-8,746	8,430	18,954	27,007
Difference	n/a	n/a	74%	3%	-20%	-20%	-17%	-8%	n/a	n/a	n/a	n/a	n/a	14%	-15%	-14%
Dividend/share																
New	0	0	0	0	0	0	0	0	1,000	1,030	1,000	1,000	0	0	0	0
Old	0	0	0	0	0	0	0	0	1,000	1,030	1,000	1,000	0	0	0	0
Difference	n/a	n/a	nm	nm	nm	nm	nm	nm	n/a	n/a	n/a	n/a	n/a	nm	nm	nm
Sales																
New	3,576	3,769	3,918	4,060	3,819	4,104	4,792	5,786	13,553	20,124	22,708	16,592	13,267	15,323	18,501	26,161
Old	3,576	3,769	3,911	4,280	4,073	4,404	5,140	6,139	13,553	20,124	22,708	16,592	13,267	15,536	19,756	27,255
Difference	n/a	n/a	0%	-5%	-6%	-7%	-7%	-6%	n/a	n/a	n/a	n/a	n/a	-1%	-6%	-4%
OP																
New	-156	204	218	192	219	283	436	493	1,068	1,808	1,633	363	-1,722	459	1,431	2,184
Old	-156	204	63	156	241	323	495	496	1,068	1,808	1,633	363	-1,722	266	1,556	2,378
Difference	n/a	n/a	248%	23%	-9%	-12%	-12%	-1%	n/a	n/a	n/a	n/a	n/a	72%	-8%	-8%
OP margin																
New	-4.4%	5.4%	5.6%	4.7%	5.7%	6.9%	9.1%	8.5%	7.9%	9.0%	7.2%	2.2%	-13.0%	3.0%	7.7%	8.3%
Old	-4.4%	5.4%	1.6%	3.6%	5.9%	7.3%	9.6%	8.1%	7.9%	9.0%	7.2%	2.2%	-13.0%	1.7%	7.9%	8.7%
Difference	n/a	n/a	4.0%	1.1%	-0.2%	-0.4%	-0.5%	0.4%	n/a	n/a	n/a	n/a	n/a	1.3%	-0.1%	-0.4%
Equity method gains																
New	115	402	180	207	142	165	184	195	530	1,040	1,017	801	838	904	686	747
Old	115	402	176	226	164	192	218	232	530	1,040	1,017	801	838	918	806	886
Difference	n/a	n/a	2%	-8%	-13%	-14%	-16%	-16%	n/a	n/a	n/a	n/a	n/a	-2%	-15%	-16%
Net non-op income																
New	112	275	110	137	72	95	114	125	596	844	853	164	358	635	406	467
Old	112	275	106	156	94	122	148	162	596	844	853	164	358	649	526	606
Diff in Wbn	n/a	n/a	4%	-12%	-23%	-22%	-23%	-23%	n/a	n/a	n/a	n/a	n/a	-2%	-23%	-23%
Tax rate - effective																
New	n/a	2%	15%	13%	17%	17%	18%	18%	25%	23%	17%	-9%	57%	0%	18%	19%
Old	n/a	2%	9%	12%	17%	17%	18%	17%	25%	23%	17%	-9%	57%	-5%	17%	18%
Diff in Wbn	n/a	n/a	7%	2%	1%	1%	1%	1%	n/a	n/a	n/a	n/a	n/a	5%	1%	1%
NP ex minority int																
New	-28	342	209	235	189	257	385	430	1,170	1,952	2,009	599	-649	759	1,260	1,837
Old	-28	342	121	229	237	319	466	469	1,170	1,952	2,009	599	-649	663	1,492	2,125
Difference	n/a	n/a	74%	3%	-20%	-20%	-17%	-8%	n/a	n/a	n/a	n/a	n/a	14%	-15%	-14%
ROE - annualized																
New	-1%	6%	3%	4%	3%	4%	6%	7%	8%	13%	11%	3%	-3%	3%	5%	7%
Old	-1%	6%	2%	4%	4%	5%	7%	7%	8%	13%	11%	3%	-3%	3%	6%	8%
Difference	n/a	n/a	1%	0%	-1%	-1%	-1%	-1%	n/a	n/a	n/a	n/a	n/a	0%	-1%	-1%
EBITDA																
New	428	803	834	826	871	967	1,146	1,217	2,320	3,271	3,361	2,238	381	2,891	4,200	5,346
Old	428	803	679	790	894	1,006	1,206	1,220	2,320	3,271	3,361	2,238	381	2,700	4,326	5,542
Difference	n/a	n/a	23%	5%	-3%	-4%	-5%	0%	n/a	n/a	n/a	n/a	n/a	7%	-3%	-4%
Capex spend																
New	591	534	700	1,174	800	900	850	950	2,255	2,809	4,048	6,271	3,067	3,000	3,500	3,500
Old	591	800	700	909	800	900	850	950	2,255	2,809	4,048	6,271	3,067	3,000	3,500	3,500
Difference	n/a	n/a	0%	29%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Net debt																
New	9,814	10,503	5,851	6,421	6,428	6,519	6,377	6,319	2,347	1,999	3,591	9,533	8,883	6,421	6,319	5,346
Old	9,814	10,502	11,440	11,854	11,820	11,871	11,681	11,628	2,347	1,999	3,591	9,533	8,883	11,854	11,628	10,489
Difference	n/a	n/a	-49%	-46%	-46%	-45%	-45%	-46%	n/a	n/a	n/a	n/a	n/a	-46%	-46%	-49%
BVPS - O/S shr based																
New	274,667	295,594	298,142	301,004	303,298	306,422	311,109	316,336	208,920	234,231	263,011	280,843	260,851	301,004	316,336	338,685
Old	274,667	297,249	298,717	301,499	304,383	308,270	313,934	319,643	208,920	234,231	263,011	280,843	260,851	301,499	319,643	345,497
Difference	n/a	n/a	0%	0%	0%	-1%	-1%	-1%	n/a	n/a	n/a	n/a	n/a	0%	-1%	-2%

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 5: We now assume a slower recovery in EV battery profitability (loss continues into 4Q26 and 1H27; and then just 2-5% OPM through 2H27 and 2028). Competition with China players (in Europe) and weak demand (US) are the key reasons, in our view. That said, the EV battery business risk can be mitigated by strongly growing ESS demand in US (40-60GW LFP capacity to be established by 2028-29; OPM: 10-20% possible but including AMPC; ex-AMPC just low-single digit% or small loss).

Samsung SDI – Revisions by division (2026-28E)

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales																	
New estimates																	
Batteries	3,354	3,519	3,643	3,777	3,550	3,825	4,487	5,472	8,729	10,947	17,566	20,406	15,691	12,384	14,293	17,334	24,866
Materials	222	250	275	283	269	280	305	314	2,566	2,606	2,558	2,302	1,580	883	1,030	1,167	1,295
Total	**3,576**	**3,769**	**3,918**	**4,060**	**3,819**	**4,104**	**4,792**	**5,786**	**11,295**	**13,553**	**20,124**	**22,708**	**16,592**	**13,267**	**15,323**	**18,501**	**26,161**
Old estimates																	
Batteries	3,354	3,519	3,636	3,997	3,804	4,124	4,835	5,825	8,729	10,947	17,566	20,406	15,691	12,384	14,506	18,589	25,961
Materials	222	250	275	283	269	280	305	314	2,566	2,606	2,558	2,302	1,580	883	1,030	1,167	1,295
Total	**3,576**	**3,769**	**3,911**	**4,280**	**4,073**	**4,404**	**5,140**	**6,139**	**11,295**	**13,553**	**20,124**	**22,708**	**16,592**	**13,267**	**15,536**	**19,756**	**27,255**
Difference																	
Batteries	nm	nm	0%	-6%	-7%	-7%	-7%	-6%	nm	nm	nm	nm	nm	nm	-1%	-7%	-4%
Materials	nm	nm	0%	0%	0%	0%	0%	0%	nm	nm	nm	nm	nm	nm	0%	0%	0%
Total	**nm**	**nm**	**0%**	**-5%**	**-6%**	**-7%**	**-7%**	**-6%**	**nm**	**nm**	**nm**	**nm**	**nm**	**nm**	**-1%**	**-6%**	**-4%**
OP																	
New estimates																	
Batteries	-177	159	163	141	173	227	369	430	241	538	1,254	1,342	218	-1,852	287	1,199	1,912
Materials	21	45	55	51	46	56	67	63	430	530	554	291	203	130	171	231	272
Total	**-156**	**204**	**218**	**192**	**219**	**283**	**436**	**493**	**671**	**1,068**	**1,808**	**1,633**	**363**	**-1,722**	**459**	**1,431**	**2,184**
Old estimates																	
Batteries	-177	159	8	99	196	267	428	433	241	538	1,254	1,342	218	-1,852	89	1,324	2,106
Materials	21	45	55	57	46	56	67	63	430	530	554	291	203	130	177	231	272
Total	**-156**	**204**	**63**	**156**	**241**	**323**	**495**	**496**	**671**	**1,068**	**1,808**	**1,633**	**363**	**-1,722**	**266**	**1,556**	**2,378**
Difference																	
Batteries	nm	nm	2023%	43%	-11%	-15%	-14%	-1%	nm	nm	nm	nm	nm	nm	221%	-9%	-9%
Materials	nm	nm	0%	-10%	0%	0%	0%	0%	nm	nm	nm	nm	nm	nm	-3%	0%	0%
Total	**nm**	**nm**	**248%**	**23%**	**-9%**	**-12%**	**-12%**	**-1%**	**nm**	**nm**	**nm**	**nm**	**nm**	**nm**	**72%**	**-8%**	**-8%**
OP Margin																	
New estimates																	
Batteries	-5.3%	4.5%	4.5%	3.7%	4.9%	5.9%	8.2%	7.9%	2.8%	4.9%	7.1%	6.6%	1.4%	-15.0%	2.0%	6.9%	7.7%
Materials	9.5%	17.8%	20.0%	18.0%	17.0%	20.0%	22.0%	20.0%	16.8%	20.3%	21.7%	12.6%	12.9%	14.7%	16.6%	19.8%	21.0%
Total	**-4.4%**	**5.4%**	**5.6%**	**4.7%**	**5.7%**	**6.9%**	**9.1%**	**8.5%**	**5.9%**	**7.9%**	**9.0%**	**7.2%**	**2.2%**	**-13.0%**	**3.0%**	**7.7%**	**8.3%**
Old estimates																	
Batteries	-5.3%	4.5%	0.2%	2.5%	5.1%	6.5%	8.9%	7.4%	2.8%	4.9%	7.1%	6.6%	1.4%	-15.0%	0.6%	7.1%	8.1%
Materials	9.5%	17.8%	20.0%	20.0%	17.0%	20.0%	22.0%	20.0%	16.8%	20.3%	21.7%	12.6%	12.9%	14.7%	17.2%	19.8%	21.0%
Total	**-4.4%**	**5.4%**	**1.6%**	**3.6%**	**5.9%**	**7.3%**	**9.6%**	**8.1%**	**5.9%**	**7.9%**	**9.0%**	**7.2%**	**2.2%**	**-13.0%**	**1.7%**	**7.9%**	**8.7%**
Difference																	
Batteries	nm	nm	4.3%	1.3%	-0.3%	-0.5%	-0.6%	0.4%	nm	nm	nm	nm	nm	nm	1.4%	-0.2%	-0.4%
Materials	nm	nm	0.0%	-2.0%	0.0%	0.0%	0.0%	0.0%	nm	nm	nm	nm	nm	nm	-0.5%	0.0%	0.0%
Total	**nm**	**nm**	**4.0%**	**1.1%**	**-0.2%**	**-0.4%**	**-0.5%**	**0.4%**	**nm**	**nm**	**nm**	**nm**	**nm**	**nm**	**1.3%**	**-0.1%**	**-0.4%**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 6: We expect up-cycle level OP in 2027-28E (8-9% OPM likely), including near-W1.0tn AMPC – ex-AMPC OPM also solid at low-mid single% assumed; Hungary fabs and US JVs will lead to long-term capacity expansion and then sales growth
Samsung SDI – EV battery long-term forecasts

(Wtn, GW, US$bn, US$)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2025-30E CAGR
EV & ESS total												
GWh sales	20.3	29.4	41.3	55.2	57.5	57.8	69.6	89.9	127.7	146.9	167.4	24%
Sales to capacity	82%	83%	88%	97%	90%	84%	92%	101%	112%	101%	94%	
GWh capacity - year-avg	24.7	35.6	46.7	56.7	63.6	69.0	75.5	89.0	114.5	146.0	179.0	21%
GWh capacity - year-end	30.1	41.1	52.3	61.2	66.0	72.0	79.0	99.0	130.0	162.0	196.0	22%
Year-end capacity change	9.8	11.0	11.2	8.9	4.9	6.0	7.0	20.0	31.0	32.0	34.0	
ASP US$/kWh	189	174	183	183	137	107	96	97	99	97	96	-2%
ASP change YoY	-13%	-8%	5%	0%	-25%	-22%	-10%	1%	2%	-2%	-1%	
US$bn equiv sales	3.84	5.12	7.55	10.09	7.87	6.17	6.69	8.73	12.65	14.25	16.08	21%
US$bn equiv cost	3.94	5.07	7.16	9.48	7.69	7.07	6.34	8.01	11.46	12.91	14.49	15%
FX KRW/USD	1,180	1,144	1,292	1,307	1,365	1,423	1,427	1,302	1,300	1,300	1,300	
Full cost US$/kWh**	194	172	174	172	134	122	91	89	90	88	87	-7%
Cost change YoY	-20%	-11%	1%	-1%	-22%	-8%	-26%	-2%	1%	-2%	-2%	
Sales Wtn	4.53	5.86	9.75	13.18	10.74	8.78	9.55	11.37	16.44	18.53	20.90	19%
OP Wtn	**-0.12**	**0.06**	**0.50**	**0.79**	**0.24**	**-1.29**	**0.50**	**0.94**	**1.54**	**1.75**	**2.07**	**NM**
OPM	-2.7%	1.0%	5.1%	6.0%	2.2%	-14.7%	5.2%	8.2%	9.4%	9.4%	9.9%	
Sales by EV vs ESS (Wtn)												
EV	3.35	4.35	7.54	10.91	8.19	5.75	5.37	6.03	8.98	10.32	11.87	16%
ESS	1.18	1.51	2.21	2.26	2.54	3.02	4.18	5.34	7.46	8.21	9.03	24%
EV+ESS total	4.53	5.86	9.75	13.18	10.74	8.78	9.55	11.37	16.44	18.53	20.90	19%
% of EV to total	74%	74%	77%	83%	76%	66%	56%	53%	55%	56%	57%	
OP by EV vs ESS (Wtn)												
EV	-0.11	0.05	0.36	0.72	0.12	-1.35	-0.11	0.06	0.33	0.52	0.71	0%
ESS	-0.01	0.01	0.14	0.07	0.12	0.06	0.61	0.87	1.22	1.23	1.35	0%
OP total	**-0.12**	**0.06**	**0.50**	**0.79**	**0.24**	**-1.29**	**0.50**	**0.94**	**1.54**	**1.75**	**2.07**	**0%**
AMPC credit					*0.09*	*0.28*	*0.84*	*0.99*	*1.25*	*1.12*	*1.01*	
Ex-AMPC OP					*0.15*	*-1.56*	*-0.35*	*-0.05*	*0.30*	*0.63*	*1.06*	
OPM												
EV	-3.4%	1.1%	4.8%	6.6%	1.5%	-23.4%	-2.1%	1.1%	3.6%	5.0%	6.0%	
ESS	-0.9%	0.9%	6.2%	2.9%	4.7%	1.8%	14.6%	16.3%	16.3%	15.0%	15.0%	
EV+ESS OPM	-2.7%	1.0%	5.1%	6.0%	2.2%	-14.7%	5.2%	8.2%	9.4%	9.4%	9.9%	
Ex-AMPC EV+ESS OPM	0.0%	0.0%	0.0%	0.0%	1.4%	-17.8%	-3.6%	-0.5%	1.8%	3.4%	5.1%	
ASP - US$/kWh												
EV	161	148	155	160	123	97	86	86	87	86	85	-2%
ESS	246	226	238	228	164	127	117	119	124	120	118	-2%
ESS price premium	30%	30%	30%	25%	20%	19%	22%	23%	25%	24%	23%	
Overall ASP	189	174	183	183	137	107	96	97	99	97	96	-2%

*Excluding cylindrical batteries (2170, 4860) which also offer strong long-term growth
Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

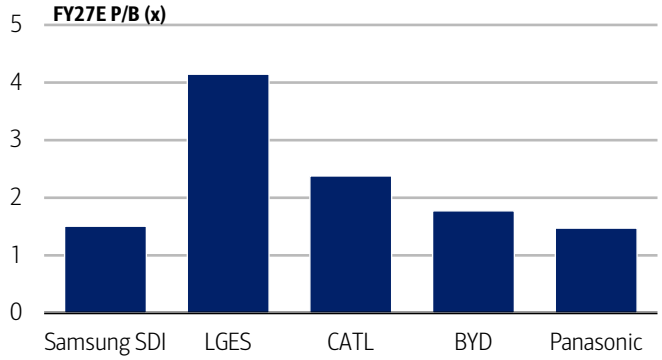
Exhibit 7: Steady increase in capacity well-expected in 2026-28E with expansion mostly focused in Hungary and US
Samsung SDI – Prismatic (EV+ESS) and Cylindrical (EV only) long-term capacity

GW, Yr-end	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2031E	2032E
Samsung SDI											
Prismatic - EV+ESS	**41**	**52**	**61**	**66**	**72**	**79**	**99**	**130**	**162**	**218**	**240**
Korea	11	11	11	10	10	10	10	12	14	20	22
China	7	6	5	4	3	3	3	3	3	3	3
Hungary	23	35	45	47	45	40	50	65	80	110	120
US JVs	0	0	0	5	14	26	36	50	65	85	95
Cylindrical - EV only	**3**	**11**	**12**	**13**	**13**	**13**	**14**	**16**	**17**	**22**	**25**
46-pi	0	0	0	0	0	1	4	8	12	19	24
2170 or below	3	11	12	13	13	12	10	8	5	3	1

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 8: Samsung SDI trading at only 1.5x 2027E P/B vs LGES 4.1x and CATL 2.4x
FY27E P/B comparison



Source: Companies, BofA Global Research estimates

BofA GLOBAL RESEARCH

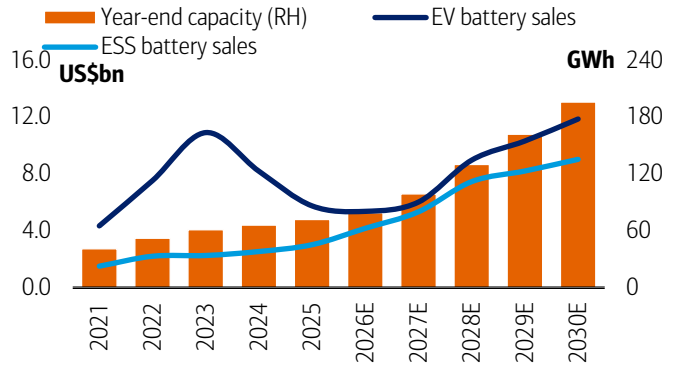
Exhibit 9: Currently trading at 1.8x P/B vs our implied target of 2.3x 2027-28E P/B
Samsung SDI – 12-month forward P/B



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

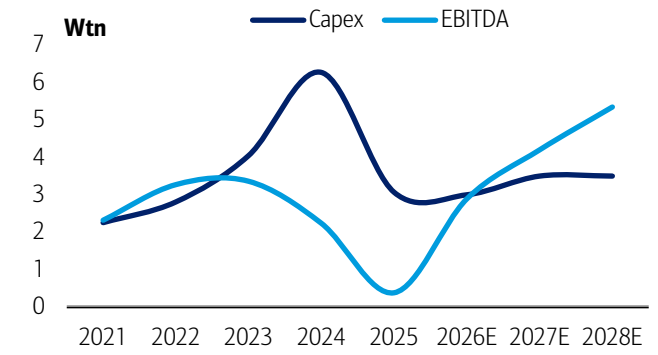
Exhibit 10: Long-term growth mostly based on Hungary and US JV capacity expansion
Samsung SDI – EV/ESS battery sales vs capacity



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

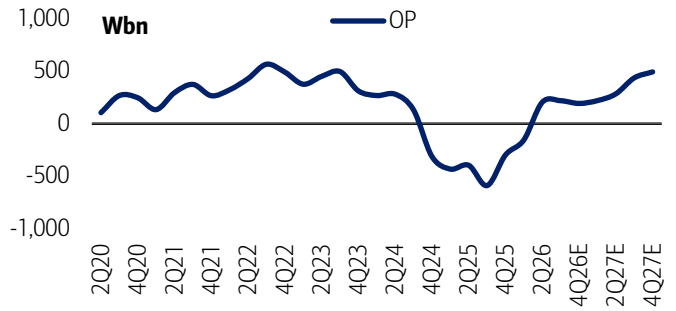
Exhibit 11: EBITDA should exceed capex in 2027-28E due to US JV capacity expansion;
Samsung SDI – EBITDA vs capex trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

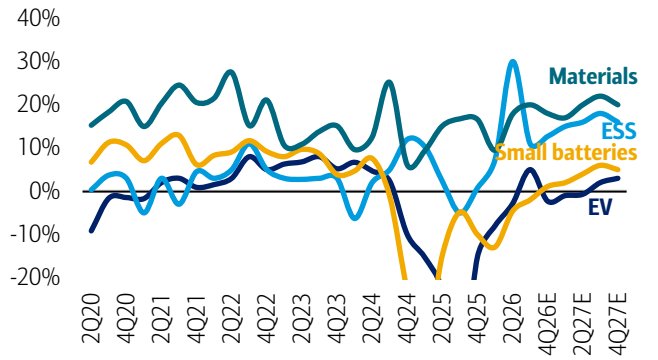
Exhibit 12: 2Q26 marked a key inflection point as Samsung SDI exited a six-quarter loss cycle, with continued earnings improvement expected in 2H26 and a return to up-cycle profitability in 2027
Samsung SDI – Quarterly OP trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 13: Robust recovery well-expected in 2H26; that said, EV battery margin still lower vs ESS and materials (semis and OLED)
Samsung SDI – OP margin trend by product



*EV batteries (ex. small cylindrical); ESS batteries; Small batteries (IT, tool, cylindrical)
Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Valuation

Exhibit 14: Our PO W750,000 is derived from 15x 2027-28E EV/EBITDA
Samsung SDI – Valuation multiples at current price and PO

(x)	2024	2025	2026E	2027E	2028E	2027-28E Avg
Current price based						
P/E	62.2	na	57.8	34.8	23.9	29.3
P/BV	**2.0**	**2.1**	**1.9**	**1.8**	**1.6**	**1.7**
EV/EBITDA	**24.2**	**142.2**	**18.7**	**12.9**	**10.1**	**11.5**
EV/Sales	3.3	4.1	3.5	2.9	2.1	2.5
PO based						
P/E	83.7	na	77.8	46.8	32.1	39.5
P/BV	**2.7**	**2.9**	**2.5**	**2.4**	**2.2**	**2.3**
EV/EBITDA	**31.2**	**183.4**	**24.1**	**16.6**	**13.1**	**14.8**
EV/Sales	4.2	5.3	4.6	3.8	2.7	3.2

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 15: EV/EBITDA was in the range of 15-20x in 2017-24 ex '25 (8-year average: 16.6x); our PO implies only 15x 2027-28E EV/EBITDA
Samsung SDI – Historical valuation trend

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026 YTD	'17-24 avg ex '25
Based on year-avg shr price													
P/E	150.4	32.8	10.3	20.4	43.3	44.5	40.5	20.6	20.8	39.8	nm	49.7	30.0
P/BV	0.7	0.7	0.7	1.3	1.3	2.1	3.4	2.6	2.4	1.3	0.8	1.6	1.9
EV/Sales	1.0	1.2	1.3	2.0	2.0	2.9	4.3	2.5	2.3	2.3	2.0	2.9	2.4
EV/EBITDA	12.9	-13.0	14.6	14.2	15.5	18.4	25.0	15.1	15.7	16.8	68.6	15.3	16.9
Based on year-high shr price													
P/E	189.1	39.3	22.7	24.9	47.9	73.1	46.7	26.0	26.4	53.1	nm	74.3	40.1
P/BV	0.9	0.8	1.5	1.5	1.5	3.4	3.9	3.2	3.0	1.7	1.3	2.4	2.5
EV/Sales	1.3	1.4	2.9	2.4	2.2	4.6	4.9	3.1	2.9	2.8	2.7	4.1	3.2
EV/EBITDA	16.3	-16.0	31.9	17.1	17.0	29.4	28.7	18.9	19.6	21.0	95.3	21.7	22.9
Based on year-low shr price													
P/E	100.2	27.7	16.3	16.2	37.7	21.3	34.4	16.5	13.9	26.2	nm	27.4	22.8
P/BV	0.5	0.6	1.0	1.0	1.1	1.0	2.9	2.1	1.6	0.8	0.6	0.9	1.4
EV/Sales	0.7	1.0	2.1	1.6	1.8	1.5	3.7	2.0	1.6	1.7	1.6	1.8	2.0
EV/EBITDA	8.5	-10.6	23.0	11.5	13.7	9.5	21.4	12.2	10.8	12.5	56.5	9.4	14.3

Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

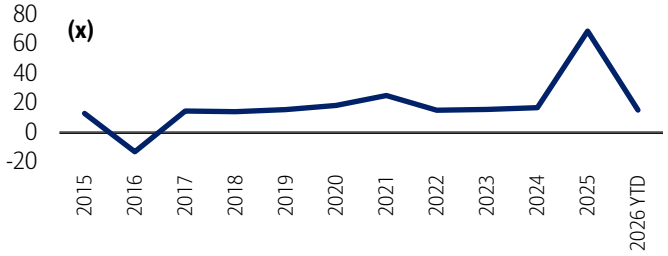
Exhibit 16: Key assumptions: 10% WACC, 4% perpetual growth, 25x EV/EBIT, etc
Samsung SDI – Our cross-checked discounted cash flow (DCF) valuation

(Wbn)	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
FCF ex-exceptionals								
Sales	16,592	13,267	15,323	18,501	26,161	28,855	33,183	37,331
Sales growth	-27%	-20%	15%	21%	41%	10%	15%	13%
Operating income	363	-1,722	459	1,431	2,184	2,597	3,152	3,733
OPM	2.2%	-13.0%	3.0%	7.7%	8.3%	9.0%	9.5%	10.0%
Depreciation & amortization	1,875	2,103	2,433	2,769	3,162	3,300	3,500	4,000
EBITDA	**2,238**	**381**	**2,891**	**4,200**	**5,346**	**5,897**	**6,652**	**7,733**
Capex	**6,271**	**3,067**	**3,000**	**3,500**	**3,500**	**3,500**	**3,500**	**4,000**
Income taxes	-48	-779	2	329	502	649	788	933
Changes in NWC	2,538	-1,613	811	-38	54	50	50	50
Net working capital	3,948	2,335	3,146	3,108	3,162	3,212	3,262	3,312
FCF total	**-6,523**	**-294**	**-922**	**409**	**1,290**	**1,698**	**2,314**	**2,750**
Discount (WACC 10%)		1.00	0.91	0.82	0.74	0.67	0.61	0.55
PV of FCF			-835	336	958	1,142	1,410	1,517
PV of 2026-31E FCF (I)		**4,529**						
Terminal value (25x EV/EBITDA)		54,419						98,614
DCF based FV total **(I+II)**		**58,948**						
Net cash* (III)		**-7,000**						
Equity investments (10% SDC stake, etc)		**8,500**						
Net adjustments (JV partners vs tax credit)		-1,400						
FV total (I+II+III+IV)		**59,048**						
Per shr FV (Won)		**750,348**						
FV vs PO		0%						
PO (Won)		**750,000**						
PO vs shr price		35%						
Share price (Won)		557,000						
O/S shares ex-treasury (mn)		78.69						

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

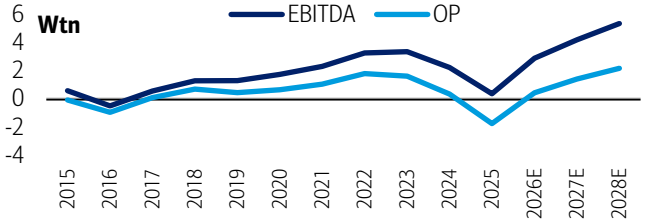
Exhibit 17: SDI's year-average EV to EBITDA during 2015-2026
SDI's EV/EBITDA multiple trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

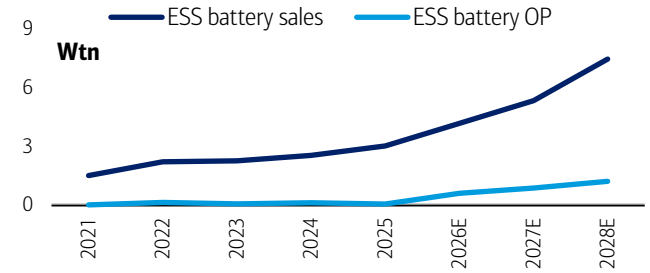
Exhibit 18: SDI's annual EBITDA and OP trend during 2015-28
SDI's EBITDA and OP trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

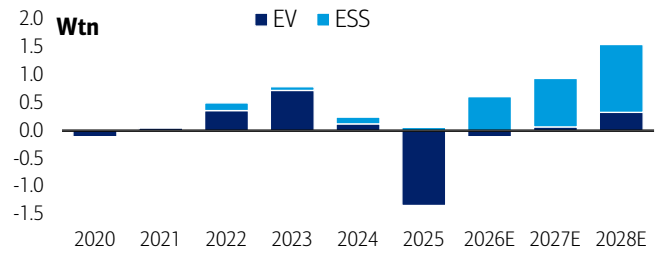
Exhibit 19: Robust ESS battery OP rebound expected in 2027-28E
SDI's ESS battery sales and OP trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 20: SDI's 50%+ OP generation mostly based on ESS, even larger vs EV profit
SDI's OP mix trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 21: Samsung SDI's multiples appear lower than peers with ROE around 5-7% in 2027-28E
SDI valuation comparison vs EV battery supply chain and Korea tech companies

	Ticker	Rating	Price (Local)	Mcap ($bn)	P/E			P/Book			EV/EBITDA			EV/Sales			ROE		
					FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E
Samsung SDI	**SSDIF**	**C-1-9**	**556,000**	**33.6**	**57.7**	**34.7**	**23.8**	**1.6**	**1.5**	**1.4**	**18.0**	**12.4**	**9.7**	**3.4**	**2.8**	**2.0**	**3.3%**	**5.0%**	**6.8%**
LGES	XQIEF	C-1-9	414,000	72.5	NM	127.5	55.4	4.3	4.1	3.9	21.8	16.5	14.1	3.9	3.2	2.8	-3.6%	3.3%	7.2%
CATL	XMOQF	B-1-7	228	160.6	12.0	10.6	8.8	2.7	2.4	2.1	7.6	6.4	5.3	1.6	1.3	1.2	24.3%	23.8%	25.0%
BYD	BYDDF	C-1-7	71	99.1	15.2	11.0	10.3	2.0	1.8	1.6	5.5	4.8	4.7	0.8	0.7	0.7	14.0%	17.3%	16.1%
Panasonic	PCRFF	B-1-7	3,905	60.7	18.6	14.0	12.1	1.6	1.5	1.3	9.2	7.5	6.8	1.2	1.2	1.1	9.5%	11.0%	11.6%
SK Innovation	SKOVF	C-1-7	148,100	19.6	5.5	8.8	13.6	0.6	0.6	0.6	3.2	5.8	6.6	0.4	0.4	0.4	10.8%	6.4%	3.9%
EVE	XEVEF	C-1-7	42	13.6	12.3	9.0	6.9	1.7	1.4	1.2	9.5	6.8	5.5	1.0	0.7	0.6	16.1%	18.5%	19.9%
EV materials																			
Ecopro BM	XKURF	C-3-9	105,200	8.2	NM	112.0	75.7	3.6	3.5	3.3	70.7	43.0	35.2	4.7	3.4	2.6	-0.1%	3.1%	4.5%
L&F	XLNTF	C-1-9	99,100	3.0	112.1	46.0	28.9	5.2	4.7	4.1	14.4	16.6	13.7	1.4	1.0	0.9	4.8%	10.4%	14.6%
Sumitomo Metal Mining	STMNF	C-1-7	8,367	15.3	9.6	8.3	9.5	1.0	0.9	0.8	10.3	10.1	11.6	1.6	1.5	1.5	10.7%	11.0%	8.8%
Yunnan Energy	XLGFF	C-1-7	44	6.4	18.1	7.2	5.3	1.4	1.2	1.0	9.2	5.1	4.1	2.8	1.9	1.5	8.9%	19.4%	21.7%
Chengxin Lithium	XCNGF	C-3-8	21	2.8	9.7	16.9	17.4	1.6	1.4	1.4	5.5	6.9	7.2	2.1	2.3	2.7	17.4%	8.8%	8.0%
Korea tech																			
SEC common	SSNLF	C-1-7	211,500	983.8	4.9	3.7	3.7	2.1	1.4	1.1	2.9	2.2	2.2	1.8	1.4	1.3	52.4%	46.1%	32.9%
SEMCO	SMSGF	C-1-7	1,155,000	65.7	55.8	20.7	13.2	7.9	6.1	4.5	27.7	12.5	8.4	6.0	4.2	3.3	15.7%	34.6%	40.8%
LGE	LGEAF	C-1-7	163,400	20.2	15.3	10.4	9.2	1.0	0.9	0.8	4.7	4.4	4.0	0.4	0.4	0.3	7.6%	9.9%	10.2%
LGI	XLGQF	C-1-7	407,000	7.2	12.8	7.5	5.6	1.5	1.3	1.1	5.3	3.7	3.1	0.4	0.4	0.3	12.3%	18.4%	20.7%
LGD	LPHLF	C-3-9	7,270	2.8	NM	23.2	20.8	0.6	0.5	0.5	3.8	3.7	3.8	0.7	0.8	0.8	-11.5%	2.4%	2.6%
Auto OEM																			
Tesla	TSLA	C-1-9	374	1,477.2	n/a	151.3	114.3	14.6	11.6	10.1	107.6	85.8	66.7	12.2	10.6	9.3	7.2%	8.6%	9.5%
BMW	BAMXF	B-2-8	58	39.9	8.6	6.6	5.4	0.6	0.6	0.5	2.0	1.8	1.8	0.3	0.3	0.3	10.0%	10.8%	11.4%
Nissan	NSANF	B-3-9	277	6.5	62.9	10.0	8.3	0.2	0.2	0.2	12.0	10.3	9.9	0.7	0.7	0.7	0.3%	2.0%	2.4%
GM	GM	B-1-7	77	65.0	5.8	5.4	4.7	1.6	1.4	1.3	3.1	3.0	3.0	0.4	0.4	0.4	24.7%	21.7%	19.7%
Nio	NIO	C-2-9	3	8.6	NM	219.1	25.5	4.0	3.9	3.3	2.0	1.5	1.2	0.1	0.1	0.1	n/a	n/a	n/a
Li Auto	LI	C-2-9	12	12.4	NM	NM	137.9	1.3	1.3	1.3	NM	-0.7	-0.4	0.0	0.0	0.0	-7.2%	-1.8%	0.9%
Xpeng	XPEV	C-1-9	9.9	9.5	NM	NM	NM	2.4	2.9	3.4	NM	NM	NM	0.5	0.4	0.4	-16.1%	-17.5%	-16.7%

Source: Companies, BofA Global Research estimates

BofA GLOBAL RESEARCH

Earnings outlook in 2026-28E

Exhibit 22: OP is expected to recover sharply during 2027-28 after significant battery business losses in 2024-25, with 2026 serving as a transition year ahead of the next earnings upcycle
Samsung SDI – Battery sales and OP breakdown

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
US$mn sales																
EV batteries ex-small	887	962	914	1,006	955	1,051	1,209	1,414	3,797	5,790	8,347	6,021	4,035	3,769	4,629	6,904
ESS batteries	649	571	788	946	823	889	1,040	1,352	1,314	1,697	1,732	1,857	2,122	2,955	4,103	5,741
Small batteries	750	810	866	910	937	1,003	1,203	1,444	4,441	6,031	5,536	3,644	2,537	3,336	4,586	6,482
Batteries total	**2,286**	**2,343**	**2,569**	**2,861**	**2,715**	**2,942**	**3,451**	**4,209**	**9,553**	**13,518**	**15,615**	**11,521**	**8,694**	**10,060**	**13,318**	**19,128**
Ex-small batteries	1,536	1,534	1,702	1,952	1,778	1,940	2,248	2,766	5,111	7,487	10,079	7,878	6,157	6,724	8,732	12,645
FX KRW/USD	1,467	1,502	1,418	1,320	1,308	1,300	1,300	1,300	1,144	1,292	1,307	1,365	1,423	1,427	1,302	1,300
Sales (Wbn)																
EV batteries ex-small	1,301	1,445	1,297	1,328	1,249	1,366	1,571	1,838	4,347	7,536	10,914	8,195	5,753	5,371	6,025	8,976
ESS batteries	953	858	1,118	1,248	1,076	1,155	1,352	1,757	1,511	2,211	2,264	2,543	3,024	4,177	5,340	7,463
Small batteries	1,100	1,216	1,229	1,201	1,225	1,303	1,564	1,877	5,089	7,819	7,229	4,953	3,607	4,746	5,969	8,427
Batteries total	**3,354**	**3,519**	**3,643**	**3,777**	**3,550**	**3,825**	**4,487**	**5,472**	**10,947**	**17,566**	**20,406**	**15,691**	**12,384**	**14,293**	**17,334**	**24,866**
Ex-small batteries	2,254	2,303	2,415	2,576	2,325	2,522	2,923	3,596	5,857	9,747	13,177	10,738	8,777	9,548	11,365	16,439
QoQ																
EV batteries ex-small	-21%	9%	-5%	10%	-5%	10%	15%	17%								
ESS batteries	-6%	-12%	38%	20%	-13%	8%	17%	30%								
Small batteries	10%	8%	7%	5%	3%	7%	20%	20%								
Batteries total	-8%	2%	10%	11%	-5%	8%	17%	22%								
Ex-small batteries	-15%	0%	11%	15%	-9%	9%	16%	23%								
FX KRW/USD	1%	2%	-6%	-7%	-1%	-1%	0%	0%								
YoY																
EV batteries ex-small	-18%	1%	3%	-10%	8%	9%	32%	41%	33%	52%	44%	-28%	-33%	-7%	23%	49%
ESS batteries	45%	18%	58%	37%	27%	56%	32%	43%	30%	29%	2%	7%	14%	39%	39%	40%
Small batteries	43%	19%	33%	33%	25%	24%	39%	59%	24%	36%	-8%	-34%	-30%	31%	37%	41%
Batteries total	11%	11%	26%	15%	19%	26%	34%	47%	28%	42%	16%	-26%	-25%	16%	32%	44%
Ex-small batteries	1%	7%	23%	8%	16%	26%	32%	42%	32%	46%	35%	-22%	-22%	9%	30%	45%
FX KRW/USD	1%	7%	2%	-9%	-11%	-13%	-8%	-2%	-3%	13%	1%	4%	4%	0%	-9%	0%
OP (Wbn)																
EV batteries ex-small	-104	-42	65	-31	-12	-10	31	55	47	358	720	120	-1,345	-112	65	326
ESS batteries	70	257	123	159	161	185	243	281	13	138	66	119	56	608	871	1,218
US AMPC credit	*81*	*288*	*275*	*200*	*210*	*225*	*255*	*300*				*90*	*275*	*843*	*990*	*1,245*
Ex-AMPC EV/ESS OP	*-115*	*-72*	*-87*	*-72*	*-61*	*-50*	*20*	*36*				*150*	*-1,565*	*-347*	*-55*	*298*
Small batteries	-142	-56	-25	13	25	52	94	94	477	758	556	-22	-562	-210	264	369
Batteries total	**-177**	**159**	**163**	**141**	**173**	**227**	**369**	**430**	**538**	**1,254**	**1,342**	**218**	**-1,852**	**287**	**1,199**	**1,912**
Ex-small batteries	-35	215	188	128	149	175	275	336	60	496	786	240	-1,289	497	935	1,543
OPM ex IRA AMPC																
EV batteries ex-small	-8.0%	-2.9%	5.0%	-2.3%	-1.0%	-0.7%	2.0%	3.0%	1.1%	4.8%	6.6%	1.5%	-23.4%	-2.1%	1.1%	3.6%
ESS batteries	7.3%	30.0%	11.0%	12.7%	15.0%	16.0%	18.0%	16.0%	0.9%	6.2%	2.9%	4.7%	1.8%	14.6%	16.3%	16.3%
Ex-AMPC EV/ESS OP	-5.1%	-3.1%	-3.6%	-2.8%	-2.6%	-2.0%	0.7%	1.0%				1.8%	-27.2%	-6.5%	-0.9%	3.3%
Small batteries	-12.9%	-4.6%	-2.0%	1.1%	2.0%	4.0%	6.0%	5.0%	9.4%	9.7%	7.7%	-0.4%	-15.6%	-4.4%	4.4%	4.4%
Batteries total	**-5.3%**	**4.5%**	**4.5%**	**3.7%**	**4.9%**	**5.9%**	**8.2%**	**7.9%**	**4.9%**	**7.1%**	**6.6%**	**1.4%**	**-15.0%**	**2.0%**	**6.9%**	**7.7%**
Ex-small batteries	-1.5%	9.4%	7.8%	5.0%	6.4%	7.0%	9.4%	9.4%	1.0%	5.1%	6.0%	2.2%	-14.7%	5.2%	8.2%	9.4%

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 23: More meaningful OP generation will start from 2H27 primarily led by EV/small batteries beside solid ESS; semis/OLED materials remain continuously profitable with steady margin accretion in 2027-28E (OPM 20% range)
Samsung SDI – Sales and OP breakdown

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales																
Batteries	3,354	3,519	3,643	3,777	3,550	3,825	4,487	5,472	10,947	17,566	20,406	15,691	12,384	14,293	17,334	24,866
Materials	222	250	275	283	269	280	305	314	2,606	2,558	2,302	1,580	883	1,030	1,167	1,295
Total	**3,576**	**3,769**	**3,918**	**4,060**	**3,819**	**4,104**	**4,792**	**5,786**	**13,553**	**20,124**	**22,708**	**16,592**	**13,267**	**15,323**	**18,501**	**26,161**
Sales mix																
Batteries	94%	93%	93%	93%	93%	93%	94%	95%	81%	87%	90%	95%	93%	93%	94%	95%
Materials	6%	7%	7%	7%	7%	7%	6%	5%	19%	13%	10%	10%	7%	7%	6%	5%
Salex mix total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
QoQ sales																
Batteries	-7%	5%	4%	4%	-6%	8%	17%	22%								
Materials	-6%	13%	10%	3%	-5%	4%	9%	3%								
Total	**-7%**	**5%**	**4%**	**4%**	**-6%**	**7%**	**17%**	**21%**								
YoY sales																
Batteries	13%	19%	29%	4%	6%	9%	23%	45%	25%	60%	16%	-23%	-21%	15%	21%	43%
Materials	13%	14%	19%	20%	21%	12%	11%	11%	2%	-2%	-10%	-31%	-44%	17%	13%	11%
Total	**nm**	**19%**	**28%**	**5%**	**nm**	**9%**	**22%**	**43%**	**20%**	**48%**	**13%**	**-27%**	**-20%**	**15%**	**21%**	**41%**
OP																
Batteries	-177	159	163	141	173	227	369	430	538	1,254	1,342	218	-1,852	287	1,199	1,912
Materials	21	45	55	51	46	56	67	63	530	554	291	203	130	171	231	272
Total	**-156**	**204**	**218**	**192**	**219**	**283**	**436**	**493**	**1,068**	**1,808**	**1,633**	**363**	**-1,722**	**459**	**1,431**	**2,184**
OPM																
Batteries	-5.3%	4.5%	4.5%	3.7%	4.9%	5.9%	8.2%	7.9%	4.9%	7.1%	6.6%	1.4%	-15.0%	2.0%	6.9%	7.7%
Materials	9.5%	17.8%	20.0%	18.0%	17.0%	20.0%	22.0%	20.0%	20.3%	21.7%	12.6%	12.9%	14.7%	16.6%	19.8%	21.0%
OPM total	**-4.4%**	**5.4%**	**5.6%**	**4.7%**	**5.7%**	**6.9%**	**9.1%**	**8.5%**	**7.9%**	**9.0%**	**7.2%**	**2.2%**	**-13.0%**	**3.0%**	**7.7%**	**8.3%**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 24: 2Q26 OP turned positive for the first time since 1Q24; we expect gradual recovery in 2H26-1H27 (W200-300bn range) and more meaningful rebound in 2H27 (W400bn+ each quarter)

Samsung SDI – Income statement

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	**3,576**	**3,769**	**3,918**	**4,060**	**3,819**	**4,104**	**4,792**	**5,786**	**13,553**	**20,124**	**22,708**	**16,592**	**13,267**	**15,323**	**18,501**	**26,161**
Cost of sales	2,992	2,832	2,975	3,118	2,900	3,106	3,626	4,523	10,476	15,903	18,726	13,499	11,805	11,916	14,155	20,966
Gross income	**585**	**937**	**943**	**942**	**919**	**998**	**1,166**	**1,263**	**3,078**	**4,221**	**3,982**	**3,094**	**1,462**	**3,407**	**4,346**	**5,194**
SG&A expenses	740	734	725	750	700	715	730	770	2,010	2,413	2,349	2,730	3,184	2,949	2,915	3,010
Depreciation & amortization	584	599	616	634	652	684	710	724	1,252	1,463	1,728	1,875	2,103	2,433	2,769	3,162
EBITDA	428	803	834	826	871	967	1,146	1,217	2,320	3,271	3,361	2,238	381	2,891	4,200	5,346
EBITDA margin (%)	12%	21%	21%	20%	23%	24%	24%	21%	17%	16%	15%	13%	3%	19%	23%	20%
Operating income	**-156**	**204**	**218**	**192**	**219**	**283**	**436**	**493**	**1,068**	**1,808**	**1,633**	**363**	**-1,722**	**459**	**1,431**	**2,184**
IRA AMPC credits	*81*	*288*	*275*	*200*	*210*	*225*	*255*	*300*				*90*	*275*	*843*	*990*	*1,245*
% of IRA AMPC to OP	*-52%*	*141%*	*126%*	*104%*	*96%*	*79%*	*59%*	*61%*				*25%*	*-16%*	*184%*	*69%*	*57%*
Net non-OP income	**112**	**275**	**110**	**137**	**72**	**95**	**114**	**125**	**596**	**844**	**853**	**164**	**358**	**635**	**406**	**467**
Net financial income	-22	-131	-70	-70	-70	-70	-70	-70	107	-52	-191	-474	-292	-294	-280	-280
Net equity method gains	115	402	180	207	142	165	184	195	530	1,040	1,017	801	838	904	686	747
Other non-OP income (net)	20	5	0	0	0	0	0	0	-41	-143	26	-163	-188	25	0	0
Recurring profit	**-43**	**479**	**328**	**329**	**292**	**378**	**549**	**618**	**1,663**	**2,652**	**2,486**	**527**	**-1,364**	**1,094**	**1,837**	**2,651**
Extraordinary gains	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Extraordinary losses (Discontinued Biz)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pretax income	**-43**	**479**	**328**	**329**	**292**	**378**	**549**	**618**	**1,663**	**2,652**	**2,486**	**527**	**-1,364**	**1,094**	**1,837**	**2,651**
Income taxes	-99	8	50	44	50	65	100	113	413	613	420	-48	-779	2	329	502
Effective tax rate (%)	*n/a*	*1.6%*	*15.3%*	*13.4%*	*17.3%*	*17.2%*	*18.2%*	*18.3%*	*24.8%*	*23.1%*	*16.9%*	*-9.1%*	*57.1%*	*0.2%*	*17.9%*	*19.0%*
Net income	**56**	**472**	**278**	**285**	**241**	**313**	**449**	**505**	**1,250**	**2,039**	**2,066**	**576**	**-585**	**1,091**	**1,508**	**2,148**
NP ex minority	-28	342	209	235	189	257	385	430	1,170	1,952	2,009	599	-649	759	1,260	1,837
Minority Interests	84	129	69	50	53	56	64	75	81	87	57	-24	65	332	248	311
Shares outstanding (mn)	82.2	82.2	82.2	82.2	82.2	82.2	82.2	82.2	70.4	70.4	70.4	70.4	82.2	82.2	82.2	82.2
EPS (Won)	**-358**	**4,348**	**2,662**	**2,989**	**2,397**	**3,263**	**4,896**	**5,460**	**17,493**	**29,192**	**30,045**	**8,962**	**-8,746**	**9,642**	**16,016**	**23,346**
DPS (Won)	0	0	0	0	0	0	0	0	1,000	1,030	1,000	1,000	0	0	0	0

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 25: Balance sheet improvement will be accelerated with earnings turnaround (FCF generation) and potential restructuring; in fact, Samsung SDI sold 5% stake (equivalent to W4.45tn) in Samsung Display in Aug-2026

Samsung SDI – Balance sheet

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & cash equivalents	1,738	1,505	5,996	4,627	4,507	4,305	4,336	4,285	2,326	2,614	1,524	1,885	1,804	4,627	4,285	4,581
Other investments (non-cash)	102	103	104	105	106	107	108	109	165	535	602	160	197	105	109	113
Trade and other receivables	3,126	3,743	3,780	3,845	3,691	3,728	3,765	3,829	2,195	2,934	3,403	4,042	3,079	3,845	3,829	3,813
Inventory	3,330	3,676	3,731	3,693	3,878	3,839	3,724	3,761	2,487	3,205	3,297	2,879	2,936	3,693	3,761	3,867
Other current assets	700	675	668	661	655	648	642	635	272	364	360	1,368	724	661	635	610
Total current assets	**8,996**	**9,701**	**14,279**	**12,931**	**12,836**	**12,627**	**12,574**	**12,620**	**7,445**	**9,652**	**9,187**	**10,334**	**8,740**	**12,931**	**12,620**	**12,986**
Long-term investments	14,014	16,088	11,742	11,918	12,045	12,189	12,347	12,514	9,458	10,186	11,360	11,168	12,797	11,918	12,514	13,160
Tangible fixed assets	20,023	20,286	20,394	20,959	21,132	21,373	21,538	21,789	7,636	8,965	11,893	17,707	19,241	20,959	21,789	22,225
Intangible fixed assets	569	556	559	562	565	568	570	573	799	815	859	668	584	562	573	585
Others	905	990	995	1,000	1,005	1,010	1,015	1,020	496	639	739	721	893	1,000	1,020	1,041
Total non-current assets	**35,511**	**37,921**	**33,691**	**34,439**	**34,746**	**35,139**	**35,470**	**35,896**	**18,388**	**20,606**	**24,852**	**30,263**	**33,515**	**34,439**	**35,896**	**37,010**
Total assets	**44,506**	**47,622**	**47,970**	**47,370**	**47,582**	**47,766**	**48,045**	**48,516**	**25,833**	**30,258**	**34,039**	**40,597**	**42,255**	**47,370**	**48,516**	**49,996**
Trade and other payables	3,389	3,661	3,675	3,804	3,880	3,841	3,764	3,726	3,269	4,286	4,539	3,402	3,365	3,804	3,726	3,580
Short-term borrowings	5,914	7,668	7,553	6,797	6,729	6,662	6,596	6,530	2,510	2,851	2,868	6,514	5,391	6,797	6,530	6,023
Other short-term payable	1,002	1,322	1,500	1,250	1,275	1,288	1,301	1,392	682	870	1,112	939	1,039	1,250	1,392	1,549
Total current liabilities	**10,305**	**12,650**	**12,728**	**11,851**	**11,884**	**11,791**	**11,660**	**11,648**	**6,461**	**8,007**	**8,519**	**10,856**	**9,795**	**11,851**	**11,648**	**11,152**
Bonds	0	0	0	0	0	0	0	0	220	0	0	0	0	0	0	0
Long-term borrowings	5,740	4,443	4,399	4,355	4,311	4,268	4,225	4,183	2,108	2,297	2,850	5,064	5,493	4,355	4,183	4,018
Deferred tax liabilities	2,125	2,655	2,628	2,602	2,576	2,550	2,525	2,500	1,653	1,894	2,065	2,020	1,898	2,602	2,500	2,401
Other long-term liabilities	1,427	1,038	1,043	1,074	1,080	1,085	1,090	1,123	194	842	699	1,090	1,499	1,074	1,123	1,174
Total long-term liabilities	**9,291**	**8,136**	**8,070**	**8,031**	**7,967**	**7,903**	**7,841**	**7,806**	**4,175**	**5,033**	**5,613**	**8,174**	**8,890**	**8,031**	**7,806**	**7,594**
Total liabilities	**19,596**	**20,786**	**20,798**	**19,882**	**19,851**	**19,694**	**19,501**	**19,454**	**10,636**	**13,040**	**14,132**	**19,030**	**18,685**	**19,882**	**19,454**	**18,745**
Paid-in capital	416	416	416	416	416	416	416	416	357	357	357	357	416	416	416	416
Capital surplus	6,589	6,589	6,589	6,589	6,589	6,589	6,589	6,589	5,002	5,002	5,002	5,002	6,589	6,589	6,589	6,589
Retained earnings	12,057	12,395	12,605	12,840	13,029	13,285	13,671	14,100	8,516	10,468	12,336	12,780	12,089	12,840	14,100	15,937
Capital adjustments	3,517	4,899	4,899	4,899	4,899	4,899	4,899	4,899	829	659	817	1,628	2,349	4,899	4,899	4,899
Total stockholders' equity	**22,579**	**24,299**	**24,508**	**24,744**	**24,932**	**25,189**	**25,574**	**26,004**	**14,704**	**16,486**	**18,511**	**19,766**	**21,443**	**24,744**	**26,004**	**27,841**
Non-controlling interests	2,331	2,537	2,664	2,744	2,799	2,883	2,970	3,059	492	732	1,396	1,801	2,127	2,744	3,059	3,409
Net Assets	**24,910**	**26,836**	**27,173**	**27,488**	**27,731**	**28,072**	**28,544**	**29,063**	**15,197**	**17,218**	**19,907**	**21,567**	**23,570**	**27,488**	**29,063**	**31,250**
Total liab. & equity	**44,506**	**47,622**	**47,970**	**47,370**	**47,582**	**47,766**	**48,045**	**48,516**	**25,833**	**30,258**	**34,039**	**40,597**	**42,255**	**47,370**	**48,516**	**49,996**
Net debts	9,814	10,503	5,851	6,421	6,428	6,519	6,377	6,319	2,347	1,999	3,591	9,533	8,883	6,421	6,319	5,346
Net working capital	2,765	3,111	3,004	3,146	3,069	3,087	3,066	3,108	1,004	1,347	1,410	3,948	2,335	3,146	3,108	3,162
Total debt/equity (%)	46.8	45.1	44.0	40.6	39.8	38.9	37.9	36.9	31.8	29.9	28.7	53.7	46.2	40.6	36.9	32.1
Net debt/equity (%)	**39.4**	**39.1**	**21.5**	**23.4**	**23.2**	**23.2**	**22.3**	**21.7**	**15.4**	**11.6**	**18.0**	**44.2**	**37.7**	**23.4**	**21.7**	**17.1**
Book value/share (Won)	**274,667**	**295,594**	**298,142**	**301,004**	**303,298**	**306,422**	**311,109**	**316,336**	**208,920**	**234,231**	**263,011**	**280,843**	**260,851**	**301,004**	**316,336**	**338,685**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 26: 2025-27E capex increase (W3.0-3.5tn pa) should be mostly for US ESS battery fabs; operating cash flows likely to fully cover capex spend starting from 2027E

Samsung SDI – Cash flow statement

(Wbn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net income	56	472	278	285	241	313	449	505	1,250	2,039	2,066	576	-585	1,091	1,508	2,148
Depreciation	560	574	592	609	628	659	685	699	1,173	1,408	1,660	1,795	2,012	2,335	2,671	3,064
Amortization	24	25	25	25	25	25	25	25	79	55	68	80	91	98	99	98
Others	-10	-299	0	0	0	0	0	0	-181	522	-610	751	-1,501	-308	0	0
Changes in working capital	-430	-346	107	-142	77	-18	20	-41	385	-343	-63	-2,538	1,613	-811	38	-54
Cash flows from operation	**85**	**24**	**821**	**570**	**828**	**814**	**996**	**992**	**2,176**	**2,641**	**2,104**	**-138**	**792**	**1,501**	**3,629**	**4,510**
Fixed assets	-591	-534	-700	-1,174	-800	-900	-850	-950	-2,255	-2,809	-4,048	-6,271	-3,067	-3,000	-3,500	-3,500
Investments	48	4	-74	-65	-72	-67	-74	-65	231	-185	-114	402	2,496	-87	-278	-278
Others	9	-49	4,500	0	0	0	0	0	74	47	58	949	-1,428	4,460	0	0
Cash flows from investment	**-534**	**-580**	**3,726**	**-1,239**	**-872**	**-967**	**-924**	**-1,015**	**-1,950**	**-2,946**	**-4,105**	**-4,920**	**-1,999**	**1,372**	**-3,778**	**-3,778**
Short-term debt	524	1,754	-115	-755	-68	-67	-67	-66	83	341	17	3,646	-1,124	1,407	-268	-507
Long-term debt	246	-1,296	-44	-44	-44	-43	-43	-42	843	-30	552	2,214	430	-1,139	-172	-165
Bonds	0	0	0	0	0	0	0	0	1	1	1	2	2	2	2	2
Stock issuance	0	0	0	0	0	0	0	0	0	0	0	0	59	0	0	0
Dividends	0	0	0	0	0	0	0	0	-69	-69	-72	-70	-70	0	0	0
Others	-440	-149	103	99	36	62	68	81	-274	388	405	-246	1,570	-388	246	236
Cash flows from financing	**330**	**308**	**-57**	**-701**	**-76**	**-49**	**-41**	**-27**	**583**	**629**	**903**	**5,544**	**865**	**-119**	**-193**	**-436**
Increase in cash	**-66**	**-232**	**4,491**	**-1,369**	**-120**	**-202**	**31**	**-51**	**780**	**289**	**-1,090**	**614**	**-334**	**2,823**	**-342**	**296**
Cash at beginning of the period	1,804	1,738	1,505	5,996	4,627	4,507	4,305	4,336	1,546	2,326	2,614	1,524	1,885	1,804	4,627	4,285
Cash at end of the period	1,738	1,505	5,996	4,627	4,507	4,305	4,336	4,285	2,326	2,614	1,524	1,885	1,804	4,627	4,285	4,581

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

Samsung SDI (SSDIF)

We derive our PO of W750,000 using 15x 2027-28E EV/EBITDA (slightly lower than long-term historical average). Since SDI's ESS capacity expansion in the US will be more meaningful through 2027-28, we use longer-term valuations instead of just 2026-centric. In fact, SDI's historical upcycle of EV/EBITDA was over 20x. Thus, our target multiple appears conservative. Upside risks are stronger ESS/EV battery order growth and more favorable US/Europe subsidies. Downside risks are related to ESS/EV battery order trend and US/Europe EV policies.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Korea imposes a capital gains tax on non-resident investors in Korean securities of the lesser of 22% of the net gain or 11% of the gross sales proceeds unless the investor is either (1) resident in a country which has a double tax treaty with Korea that exempts the investor's capital gains from Korean tax or (2) the shares sold are sold through the Korea Stock exchange or KOSDAQ exchange and the seller (including related parties) has not owned 25% or more of the shares of the issuer at any time during the year of sale plus the 5 calendar years preceding the year of sale. Investors should seek their own tax advice.

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

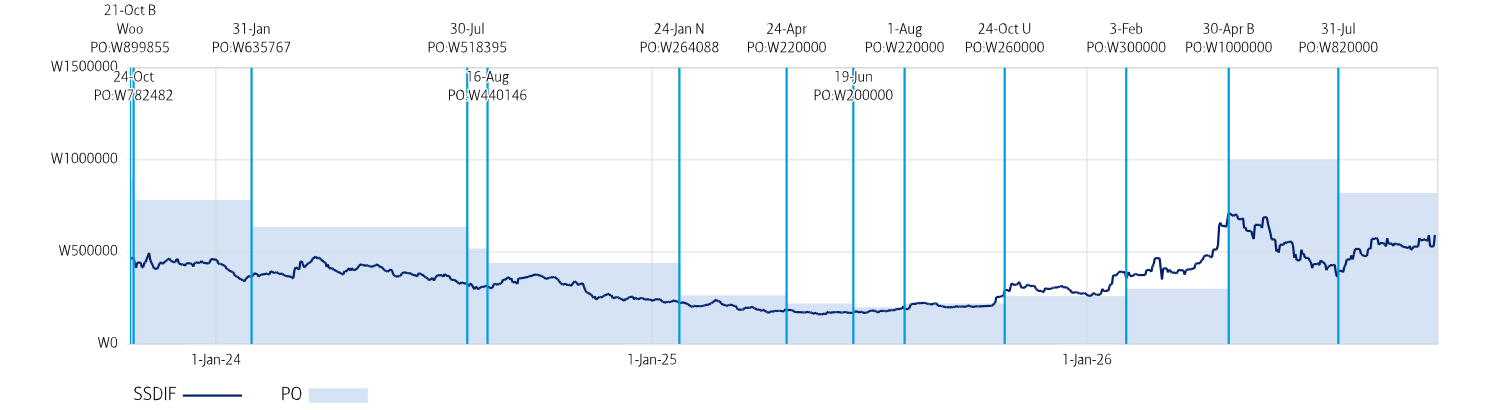
iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofile℠, *iQmethod℠* are service marks of Bank of America Corporation. *iQdatabase®* is a registered service mark of Bank of America Corporation.

Disclosures

Important Disclosures

Samsung SDI (SSDIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the Price Charts website, or call 1-800-MERRILL to have them mailed.
The issuer is or was, within the last 12 months, an investment banking client of BofAS and/or one or more of its affiliates: Samsung SDI.
BofAS or an affiliate has received compensation from the issuer for non-investment banking services or products within the past 12 months: Samsung SDI.
The issuer is or was, within the last 12 months, a non-securities business client of BofAS and/or one or more of its affiliates: Samsung SDI.
In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Samsung SDI.
BofAS or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer or an affiliate of the issuer within the next three months: Samsung SDI.
BofAS together with its affiliates beneficially owns one percent or more of the common stock of this issuer. If this report was issued on or after the 9th day of the month, it reflects the ownership position on the last day of the previous month. Reports issued before the 9th day of a month reflect the ownership position at the end of the second month preceding the date of the report: Samsung SDI.

The issuer is or was, within the last 12 months, a securities business client (non-investment banking) of BofAS and/or one or more of its affiliates: Samsung SDI.
BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.
Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.
The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.
Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.
Refer to BofA Global Research policies relating to conflicts of interest.
"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.
Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:
BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/_____; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSFC); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority.
This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSFC; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the Electronic Communications Disclaimers for further information.
This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.
General Investment Related Disclosures:
Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.
This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.
Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not

deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are not regulated in a manner similar to U.S. securities markets. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities or digital assets that may have been recommended or discussed in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments recommended or discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.